Annex I. Public Debt Sustainability Assessment (DSA)

Bottom line: Sustainable.

Baseline

Public debt of the NFPS is expected to remain sustainable, rising from 41 percent of GDP in 2019 to about 48.9 percent of GDP by 2021, reflecting unfavorable debt dynamics spurred by the pandemic-related macroeconomic shock, but declining gradually to 44.6 percent of GDP by 2025. The GFN will remain moderate averaging 6.2 percent over the projection horizon. Neither debt nor GFN breach the MAC DSA thresholds.	The authorities are addressing the COVID-19 shock with additional temporary spending financed by international bond issuance and loans from IFIs. Despite the sharp deceleration in 2020 to -2 percent (y/y), medium-term prospects for Panama's growth remain robust. Against the backdrop of a stable macroeconomic environment, growth is expected to converge to its potential of 5 percent from 2022 onwards. Inflation is expected to remain low, at around 2 percent in the medium term. The overall NFPS deficit is projected to rise to 6.25 percent of GDP in 2020, as the SFRL deficit threshold is temporarily relaxed, before returning to adherence to SFRL limits in 2021 and falling to 2 percent of GDP over the medium term. The medium-term fiscal path is assessed as realistic.

Stress Tests

Debt and GFN remain below the high-risk thresholds in all standardized macro-fiscal stress tests as well as in the combined macro-fiscal shock.	Debt is vulnerable to a growth shock (namely, a slow recovery in 2021– 22), which would cause gross nominal public debt to rise above 50 percent of GDP. The path of debt is declining under all shock scenarios.

Assumptions

The COVID-19 shock is expected to lead to negative growth in 2020Q2-Q3, with a V-shaped recovery starting in 2020Q4. A sharp rise in the overall deficit of the NFPS is projected for 2020.	The baseline growth projections are in line with the WEO assumptions, and fiscal assumptions are aligned with authorities' views in 2020 and the SFRL thereafter. A more protracted shock could weaken aggregate demand for longer, lower tax revenues and increase the fiscal deficit, widen the current account deficit, and lower GDP growth.

Coverage and Contingent Liabilities

The definition of "public" debt is the debt of the nonfinancial public sector (NFPS). NFPS debt accounts for contingent liabilities of large SOEs, including Panama's State Highway Company (ENA), utility company (ETESA) and Tocumen International Airport (AITSA).

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Figure 1. Panama: Public Sector DSA – Baseline Scenario
(In percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

	Actual			Projections					
	2009-2017 [2/]	2018	2019	2020	2021	2022	2023	2024	2025
Nominal gross public debt	36.5	36.8	41.0	48.5	48.9	47.9	46.7	45.6	44.6
Public gross financing needs	6.8	6.2	6.4	9.2	5.6	5.0	5.1	7.4	4.9
Net public debt		25.8	28.2	35.1	36.0	35.7	35.2	34.8	34.4
Real GDP growth (in percent)	6.3	3.7	3.0	-2.0	4.0	5.0	5.0	5.0	5.0
Inflation (GDP deflator, in percent)	4.1	0.9	-0.4	-0.9	0.5	1.5	2.0	2.0	2.0
Nominal GDP growth (in percent)	10.7	4.7	2.6	-2.9	4.5	6.6	7.1	7.1	7.1
Effective interest rate (in percent) [4/]	5.8	5.3	5.3	5.3	5.2	5.2	5.0	4.9	4.9

As of April 01, 2020		
Sovereign Spreads		
EMBIG (bp) 3/		306
5Y CDS (bp)		135
Ratings	Foreign	Local
Moody's	Baa2	Baa2
S&Ps	BBB	BBB
Fitch	BBB	BBB

Contribution to Changes in Public Debt

	Actual			Projections							
	2009-2017	2018	2019	2020	2021	2022	2023	2024	2025	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	-0.7	2.0	4.3	7.5	0.4	-1.0	-1.2	-1.1	-1.0	3.5	
Identified debt-creating flows	-1.4	1.7	2.5	7.7	0.6	-0.8	-1.0	-1.0	-0.8	4.8	
Primary deficit	0.3	1.5	1.5	4.2	0.3	-0.1	0.0	0.0	0.1	4.5	-0.9
Primary (noninterest) revenue and grants	21.2	19.7	18.2	16.4	18.8	18.7	18.6	18.6	18.5	109.6	
Primary (noninterest) expenditure	21.4	21.1	19.6	20.6	19.1	18.6	18.6	18.6	18.5	114.1	
Automatic debt dynamics [5/]	-1.6	0.2	1.0	3.5	0.3	-0.7	-0.9	-0.9	-0.9	0.3	
Interest rate/growth differential [6/]	-1.6	0.2	1.0	3.5	0.3	-0.7	-0.9	-0.9	-0.9	0.3	
Of which: real interest rate	0.5	1.4	2.1	2.6	2.2	1.6	1.3	1.2	1.2	10.2	
Of which: real GDP growth	-2.1	-1.2	-1.1	0.9	-1.9	-2.3	-2.2	-2.2	-2.1	-9.8	
Exchange rate depreciation [7/]	0.0	0.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
GG: Net privatization proceeds (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Please specify (2) (e.g., ESM and Euroarea loans)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes [8/]	0.6	0.3	1.8	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2	-1.3	

Source: IMF staff.

1/ Public sector is defined as non-financial public sector.

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

Panama: Public DSA Risk Assessment

Heat Map

Debt level [1/]	Real GDP Growth Shock	Primary Balance Shock	Real Interest Rate Shock	Exchange Rate Shock	Contingent Liability shock
Gross financing needs [2/]	Real GDP Growth Shock	Primary Balance Shock	Real Interest Rate Shock	Exchange Rate Shock	Contingent Liability Shock
Debt profile [3/]	Market Perception	External Financing Requirements	Change in the Share of Short-Term Debt	Public Debt Held by Non-Residents	Foreign Currency Debt

Source: IMF staff.

1/ The cell is highlighted in green if debt burden benchmark of 70% is not exceeded under the specific shock or baseline, yellow if exceeded under specific shock but not baseline, red if benchmark is exceeded under baseline, white if stress test is not relevant.

2/ The cell is highlighted in green if gross financing needs benchmark of 15% is not exceeded under the specific shock or baseline, yellow if exceeded under specific shock but not baseline, red if benchmark is exceeded under baseline, white if stress test is not relevant.

3/ The cell is highlighted in green if country value is less than the lower risk-assessment benchmark, red if country value exceeds the upper risk-assessment benchmark, yellow if country value is between the lower and upper risk-assessment benchmarks. If data are unavailable or indicator is not relevant, cell is white.
Lower and upper risk-assessment benchmarks are:

200 and 600 basis points for bond spreads; 5 and 15 percent of GDP for external financing requirement; 0.5 and 1 percent for change in the share of short-term debt; 15 and 45 percent for the public debt held by non-residents; and 20 and 60 percent for the share of foreign-currency denominated debt.

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